

Long/Short Equity

The strategy that started the hedge fund industry — and how it still works today

By Marcel Tegos | Standard III Wealth | September 17, 2026

Long/short equity is the strategy that started the hedge fund industry. In 1949, Alfred Winslow Jones combined two ideas that, on their own, weren't new — buying stocks he expected to rise, and short-selling stocks he expected to fall — but had never been deliberately paired together as a single, unified approach. Jones added leverage on top of the combined position, and in doing so created something genuinely different from a traditional long-only fund: a portfolio designed to profit from the **relative** performance of stocks against one another, largely independent of what the overall market was doing. More than seventy-five years later, long/short equity still accounts for the largest share of assets in the equity hedge fund universe.

The Core Idea

Any serious investment research process turns up two kinds of ideas: stocks that look underpriced relative to their fundamentals, and stocks that look overpriced. A traditional long-only fund can only act on the first half of that research. A long/short fund acts on both halves at once. The undervalued names become long positions; the overvalued names become short positions, sold short in the expectation that their price will fall.

Running both books together changes the character of the portfolio. Because the short positions tend to move opposite the market during broad swings, they act as a natural offset to the long book — when the market falls, losses on the longs are cushioned by gains on the shorts, and vice versa. The fund's return depends much less on which direction the market moves and much more on how well the manager distinguished winners from losers — what's often called isolating **alpha** (return from skill) from **beta** (return from simply being exposed to the market).

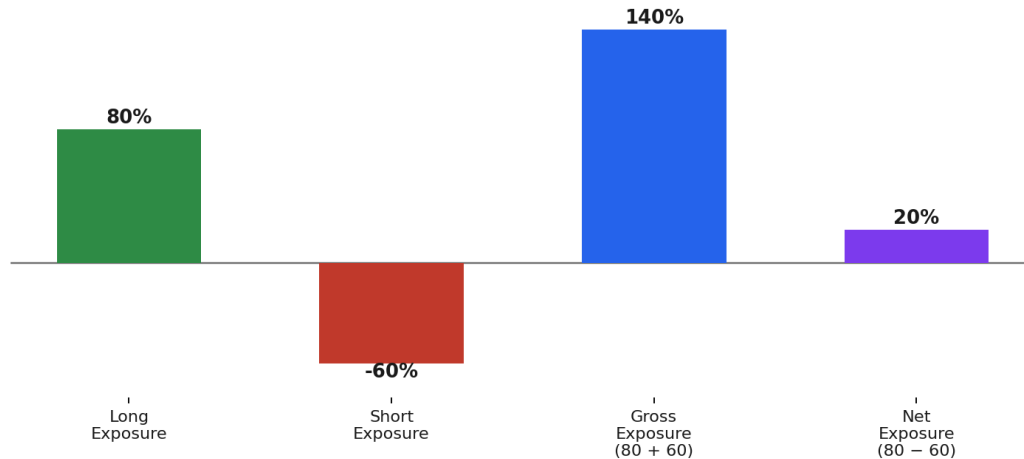
Gross and Net Exposure

Two numbers sit at the center of how any long/short fund is actually managed. **Gross exposure** is the sum of the long book and the short book as a percentage of capital. **Net exposure** is the difference between the two. A fund that is 80% long and 60% short has

140% gross exposure but only 20% net exposure — meaning it's using substantial leverage while keeping its overall directional bet on the market fairly small.

GROSS VS. NET EXPOSURE

Example: a fund that is 80% long and 60% short



Gross exposure measures total leverage; net exposure measures the fund's remaining directional bet.

These two figures are the primary levers a manager uses to express conviction. A manager confident in their stock selection but uncertain about market direction can run high gross exposure with low net exposure — many individual bets, very little overall market risk. A manager with a strong view that the market itself is headed higher might increase net exposure instead, layering a directional opinion on top of the stock-picking bets.

Where Funds Sit on the Spectrum

Long/short strategies exist on a spectrum defined by how tightly a fund controls its net exposure. At one extreme sits the **equity market neutral** (EMN) fund, which works to keep the dollar value of its longs and shorts roughly equal at all times — net exposure at or near zero. This requires active, ongoing rebalancing: as a trend develops and one side of the book pulls ahead, the manager trims the winning side and adds to the lagging side to restore balance.

At the other end sits the **directional** long/short fund, which maintains a meaningful and often shifting net bias. A common structural variant here is the 130/30 fund: 130% long exposure financed in part by 30% short exposure, producing net exposure of 100%, similar to a fully invested long-only fund, but achieved through a structure that still incorporates short selling. Most funds calling themselves "long/short equity" run somewhere between these two poles.

It's worth noting that long-biased funds vastly outnumber short-biased funds industry-wide, mainly because sourcing genuinely profitable short ideas has always been structurally harder than sourcing good long ideas. Markets have historically drifted upward over long periods, overpriced stocks can remain overpriced for extended stretches, and the mechanics of shorting introduce costs and risks that don't exist on the long side.

Pair Trading

The clearest expression of long/short logic is the pair trade — going long one stock while shorting a closely related stock, usually a direct competitor in the same industry, so that broad sector and market moves largely cancel out and what remains is a narrow bet on relative performance.

Consider an investor who believes General Motors is undervalued relative to Ford. They buy \$100,000 of GM and simultaneously short \$100,000 of Ford. Net market exposure is zero — the trade doesn't depend on the overall market or even the auto sector moving in any particular direction, only on GM outperforming Ford. If Ford rises 20% and GM rises 27%, the investor sells GM for \$127,000, buys back the Ford shares to close the short for \$120,000, and pockets the \$7,000 spread. If the market instead falls — Ford down 30%, GM down only 23% — the investor still sells GM for \$77,000, still covers the Ford short for \$70,000, and still nets the same \$7,000. The direction of the broader market never entered into it.

Sector correlation is also the pair trade's natural limitation: stocks in the same industry are often pushed by many of the same forces, narrowing the achievable spread. To work around this, many managers deliberately draw long and short legs from entirely different sectors, built around a macro thesis — shorting an interest-rate-sensitive sector like utilities while going long a defensive sector like healthcare, for example, when rates are expected to rise.

Sources of Return

A long/short fund's returns come from several distinct sources layered on top of one another. **Stock selection** is the most obvious — correctly picking outperformers for the long book and underperformers for the short book. The cash proceeds from short sales typically earn interest while a position is open, a financing dynamic called the **short rebate**, which can meaningfully contribute to returns. The leverage embedded in gross exposure above 100% amplifies whatever spread exists between the long and short books. And because a well-constructed long and short book tend to move together during broad market swings, a long/short portfolio often carries meaningfully lower volatility than a comparable long-only portfolio — allowing a manager to apply leverage more aggressively without taking on outsized overall risk.

Risk Considerations

Shorting introduces risks that don't exist on the long side. The most severe is the **short squeeze**: because a short position's potential loss is theoretically unlimited, a heavily shorted stock that begins to rally can force short sellers to buy back shares to limit losses — and that forced buying itself pushes the price higher, feeding a self-reinforcing spiral. The retail-driven squeezes in names like GameStop in early 2021 remain the most vivid modern illustration.

Shorting also carries ongoing costs: borrowing shares isn't free, a hard-to-borrow stock can carry a negative rebate, shares can be recalled by the lender at any time, and a short seller is obligated to pay any dividends the shorted company issues. There's also crowding risk at the strategy level — because many long/short managers gravitate toward similar "high-quality" longs and similar "low-quality" shorts, periods of market stress can trigger many funds to unwind overlapping positions simultaneously, amplifying losses across the board.

Fees and Structure

Long/short equity funds have historically been priced under the classic hedge fund fee model, often shorthand as "2 and 20" — a 2% annual management fee plus a 20% performance fee, frequently subject to a high-water mark. Industry-wide fee compression has pushed many funds below this traditional benchmark in recent years, though "2 and 20" remains the reference point the industry is still measured against.

Why the Strategy Persists

The enduring appeal of long/short equity comes down to a simple value proposition: a well-run fund should participate in less of the market's downside than a long-only portfolio, thanks to the built-in offset from the short book, while still capturing meaningful upside through skilled stock selection when the market is rising. Separating genuine investment skill from simply being along for the market's ride is hard to do with a long-only portfolio, because a rising market can make even mediocre stock-pickers look talented. Long/short equity, done well, is built specifically to answer that problem — which is exactly why, more than seven decades after Jones built the first version of it, the strategy remains the foundation the rest of the hedge fund industry was built on top of.